IN THE NATIONAL COMPANY LAW TRIBUNAL
DIVISION BENCH (COURT– I) CHENNAI

ATTENDANCE CUM ORDER SHEET OF THE HEARING
HELD ON **27.02.2026** THROUGH VIDEO CONFERENCE

CORAM: HON'BLE SHRI. SANJIV JAIN, MEMBER (JUDICIAL)
HON'BLE SHRI VENKATARAMAN SUBRAMANIAM, MEMBER (TECHNICAL)

Application No	:	CA(CAA)/102(CHE)/2025
Petition No	:	CP(CAA)/10/CHE/2026
Name of Petitioner & Name of Respondent	:	Ashok Magnetics Ltd
Section	:	230-232 of CA, 2013

ORDER

CP(CAA)/10/CHE/2026

Present: Mr. R.Subramanian, Ld. Counsel for the Liquidator.
Mr. Rajesh Bohra, Ld. Counsel for the Scheme Proponent.
Ld. Counsel Mr. M.L.Ganesh along with Mr. Gajendran Ravi for the Financial Creditor.

This petition has been filed under Section 230 of the CA Act, for sanction of the scheme of arrangement filed during liquidation.

In the present case, first motion has already been approved by this Tribunal.

Ld. Counsel submits that the scheme has been submitted by the suspended directors of the Corporate Debtor as an MSME. An affidavit under Section 29A of IBC has already been given by the scheme proponent. He submits that there are three Financial Creditors i.e. State Bank of India, Central Bank of India and Prudent ARC. This Tribunal vide an order had directed the Liquidator to auction the property which was mortgaged with Religare against which Regilare preferred an appeal which it withdrew later after entering into settlement.

Ld. Counsel submits that during liquidation none of the Operational Creditor filed any claim nor any due is payable to the statutory / government authorities / workmen / employees. The scheme provides for payment for CIRP and liquidation expenses in full. He submits that PUFE applications are pending but as per the

settlement entered by the Financial Creditors who are the beneficiaries, they will not pursue the PUFE applications.

Ld. Counsel has referred the proposed scheme internal page 21, paragraph 'h' which provides that all the secured Financial Creditors will not pursue the application under Section 43, 45 and 66 of IBC, 2016.

Ld. Counsel submits that the scheme before submission was duly approved by the Financial Creditors.

Ld. Counsel appearing for the Scheme Proponent submits that the Scheme Proponent does not claim any benefit out of the PUFE transactions allegedly filed.

As to the relief and concessions, Ld. Counsel for the Scheme Proponent on instructions submits that the relief and concessions may be granted as applicable in law without making any specific mention.

Arguments heard.

Order reserved.

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[VENKATARAMAN SUBRAMANIAM]
MEMBER (TECHNICAL)

-sd-
[SANJIV JAIN]
MEMBER (JUDICIAL)

MS

Date: 27.02.2026